2.B Commodities

The decision problem faced by the consumer in a market economy is to choose consumption levels of the various goods and services that are available for purchase in the market. We call these goods and services *commodities*. For simplicity, we assume that the number of commodities is finite and equal to L (indexed by $\ell = 1, \ldots, L$).

As a general matter, a *commodity vector* (or commodity *bundle*) is a list of amounts of the different commodities,

$$x = \begin{bmatrix} x_1 \\ \vdots \\ x_L \end{bmatrix},$$

and can be viewed as a point in $\mathbb{R}^L$, the commodity *space*.[1]

We can use commodity vectors to represent an individual's consumption levels. The ℓth entry of the commodity vector stands for the amount of commodity ℓ consumed. We then refer to the vector as a *consumption vector* or *consumption bundle*.